Experiment 5 Instructions

Your Role:
You are the business manager for one of two competing pizzerias in the same neighborhood: **Mario's Pizzeria** or **Luigi's Pizzeria**. Your role is written on your paper.

Scenario:
Both pizzerias sell a very similar style of margherita pizza with no table service; customers order and take their pizza to go. Each pizzeria has a production cost (c) of **€2 per pizza**. You must choose between two prices each round: Low Price **(L): €6** OR High Price **(H): €12**.

The **profit** for each is determined by the number of pizzas sold (Q) multiplied by the price minus the cost $(P - c)$. Profit $= Q \times (P - c)$.

The market is composed of 60 total customers that have the following characteristics:
- **Loyal Customers:** Always buy from their preferred pizzeria, regardless of price.
- **Relative Price-Sensitive Customers:** They will pay H for their preferred pizzeria, but will switch if the price of the other is lower.
- **Price-Driven Customers:** They will pay L but not H for either pizzeria, choosing their preferred one if it is available.

In each round, you must first calculate the payoffs for each scenario in the payoff matrix provided. Then, you must choose which price to set, **Low or High**. Before each round, the matching mechanism will be announced.

One of you will earn 1 extra credit point. After the final round, I will total everyone's earnings. I will rank the earners from highest to lowest. From this list, I will select the top five earners (numbered 1-5) and enter them into a lottery. I will then generate a random number from 1 to 5, and the fifth number drawn will determine the winner.

Please write your name, student ID, and card number:

Name: _____ Student ID: _____

Role: Luigi's Pizzeria

Round 1:
Customer Distribution
- Loyal: 22 customers (11 each)
- Price-Sensitive: 18 customers
- Price-Driven: 20 customers

What price do you choose to set? (circle one)

Low **High**

Profit Matrix		Luigi	
		Low	High
Mario	Low		
	High		

Round Payoff: _____

Profit calculations:

Round 2:
Customer Distribution
- Loyal: 14 customers (7 each)
- Price-Sensitive: 18 customers
- Price-Driven: 28 customers

What price do you choose to set? (circle one)

Low **High**

Profit Matrix		Luigi	
		Low	High
Mario	Low		
	High		

Round Payoff: _____

Profit calculations:

Round 3:
Customer Distribution (same as Round 1)
- Loyal: 22 customers (11 each)
- Price-Sensitive: 18 customers
- Price-Driven: 20 customers

What price do you choose to set? (circle one)

Low **High**

Profit Matrix		Luigi	
		Low	High
Mario	Low		
	High		

Round Payoff: _____

Round 4:
Customer Distribution (same as Round 2)
- Loyal: 14 customers (7 each)
- Price-Sensitive: 18 customers
- Price-Driven: 28 customers

What price do you choose to set? (circle one)

Low **High**

Profit Matrix		Luigi	
		Low	High
Mario	Low		
	High		

Round Payoff: _____